

1. What is FD?

I have either seen people love FDs or hate FDs. FDs have an important role to play in your portfolio. But investing your entire portfolio into FDs is also not sensible. So let's discuss more about FDs and a few strategies through which you can make the most out of your investments in FDs.



A fixed deposit or FD is a popular investment instrument that banks and non-banking financial companies (NBFC) offer. Through an FD, people invest a certain sum of money for a fixed period at a predetermined rate of interest in an FD.

Fixed deposits are available for different periods, ranging from very short-term tenures of 7-14 days to long tenures of 10 years.

This period is decided when you make an FD and premature withdrawal draws a penalty, so your money is blocked for the duration of the FD. So ensure you align your investment timeline with the FD tenure.